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STUDENT INVESTMENT MANAGEMENT GROUP

Procter & Gamble

By the Defensive Sector

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Buy/Sell/Hold

Price: $147.82

Fair Market: $155

1-Year Price Target: $161

Industry: Household & Personal Products

P/E	EV/EBITDA	Market Cap	52 Week
22.33x	16x	343.34B	High: $167.25 Low: $137.62

Security Description

- Procter & Gamble is one of the largest consumer staples companies in the world.
- Owns major brands like Tide, Pampers, Gillette, Crest, and Head & Shoulders.
- Generates revenue mainly from household, personal care, and hygiene products.
- Strong brand recognition and customer loyalty give PG pricing power.
- Main competitors include Unilever, Colgate-Palmolive, and Kimberly-Clark.

Earnings Review

- Q4 2026 revenue reached $21.2 billion, up 2% year over year.
- Organic sales growth remained flat at 0%, showing weaker consumer demand.
- Core EPS came in at $1.43, down 3% from $1.48 last year. Full-year revenue reached $87 billion, up 3%, while core EPS increased just 1% to $6.89.
- Management expects FY2027 core EPS between $6.89 and $7.11, suggesting relatively slow earnings growth.

Valuation

- PG trades around 22.4× trailing earnings and 21.2× forward earnings.
- Price-to-sales ratio is around 4.1×, with a price-to-book ratio of 6.5×.
- Dividend yield is approximately 3%, with an annual dividend of around $4.35 per share.
- The stock's P/E has declined from roughly 25.3× in June 2025 to 22.4× in September 2026, showing some valuation compression.
- Analysts' average price target is around **$161**, although the upside depends on the share price at purchase.

Forward Outlook

- PG's strong brand portfolio and consistent demand for everyday products should help maintain stable revenue even during economic slowdowns.
- Cost-cutting initiatives and improved operating efficiency could support profit margins, while international expansion provides additional growth opportunities.
- With earnings growth expected to remain relatively slow, I see PG more as a stable dividend investment than a high-growth opportunity. A stronger recovery in sales volume would be needed to drive significant upside.

Risks

- Material, energy, transportation costs – lower margins
- Consumer price sensitivity
- Competition – P&G competes against major brands – other companies, including Walmart, Costco, and Target, have cheaper brands that have similar quality
- Tariffs: P&G has a large global supply chain, so changes in tariffs and trade policies can increase material costs and disrupt its supply chains